

But here was this older man in front of me, and he was clearly someone who understood real estate *as an investment*. He understood the only way it really works as an investment is if there is *no mortgage on that investment*. Any other scenario has the bank making money right along with you, usually more than you are making.

I couldn't help myself. I had to get his story. Here's what he told me. The first building he bought, in the mid-1950s, was a three-story walk-up with six units. It was in a bad neighborhood, so it was a risky but cheap investment. He had saved money while working at a restaurant and after five years was able to make a minimum 10 percent down payment. Then he was smart enough to strike a hard bargain with the bank. In exchange for buying and fixing up this decrepit building, he wanted the flexibility to pay down as much principal as possible every quarter. The bank, thinking this man would never be able to tackle that much of the mortgage that quickly, agreed. For the next five years, this man went to war, all day, every day, against his mortgage. It required a complete overhaul of his life.

"We ate beans," he said. "Lots of them. No meat. Beans. For years."

He burst out laughing as though this had been the best time in his life! He lived in the worst rental unit in the building he owned. Every dime he earned, he saved; every dollar of rent he collected that wasn't servicing the mortgage went into a separate savings account. Every three months, that tidy sum paid down the mortgage principal. He didn't rest and quit working; he didn't move to a bigger rental unit; he didn't spend any of his extra money on himself, his wife, or his kids until that mortgage no longer existed. And when it was all paid down in six, instead of twenty-six, years, he bought himself . . . a steak.

By then, of course, the previously decrepit building was in good condition and was generating a ton of rental income. So after eating his steak, what did he do with all the money he was earning? He saved it for a few months, and then put it toward a down payment on *another building*. He used the cash flow from the first building to service the mortgage on the second, and so on and so on, *for twenty years*. That's how he came to own half a city. That's how he became a multimillionaire in one generation.